Before the bank

Why the town could not buy its own output, and the one lever that moved it

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7 November 2026

1. The symptom: a town that cannot buy its own output

The metropolis is a 5× town — 75 people, ∼40 firms, competing sellers in every market. Turned on with the "levelled" market (incomes tripled, supply pinched to generation 0, discretionary price discovery), the nightclubs genuinely sell out and a price moves. But over a five-year run the pattern is always the same: capacity the firms can clearly afford to build outruns the town's ability to *buy*, the discretionary price deflates toward its floor, and the marginal sector folds. The luxury (health-demand) shops are the canary: they invest early at a high sold-out price, the price then collapses to 1, and the wage bill of the crew they committed sinks them.

The diagnosis, stated once and never since contradicted: **the economy is structurally demand-deficient**. There is plenty of *capacity* and plenty of *money*; what is missing is purchasing power *reaching the households that would spend it.*

2. Six levers, and why each failed

Each lever below was built additively and measured against the same levelled town. None cured the deficiency.

Lever	Result
Loosen the price undercut cap	*Worse.* Demand is budget-constrained (spend ÷ price), so a higher price buys fewer units and a false "healthy price" lures firms into over-investment.
Raise incomes (wage scale 3→6)	*Starvation.* Higher wages bankrupt the low-margin, inelastic staple producers; `fed` falls to 0.
Population / births	*Collapse.* Poor newborns add labour, not demand; the swollen idle pool un-caps the invest brake and the clubs over-expand and fold.
Generous endowment (a cash gift)	*Transient.* A *stock* depletes in ∼4 months; demand is a *flow* off current cash, so a one-off gift fades.
Bank dividend (wired)	*Inert.* No credit sector, so the bank earns no profit to distribute.
Private lending to firms	*Inert.* The entrepreneurs are not capital-short — they hoard 15–25× the cash a machine needs — and the idle labour pool is down to 2, so credit to firms only shuffles idle money between hoarders and adds supply to a town short of demand.

The convergent conclusion: **there is no free demand lever**. Price and wage are zero-sum redistributions inside a fixed population; a stock gift is not a flow; and lending to firms is a *supply* channel in an economy whose binding constraint is *demand*. Sustained purchasing power has to be a *flow from genuine production into households' hands*.

3. The diagnosis sharpened: idle wealth is everywhere

The wealthy are not absent. Rentiers open with 240–600 in cash, owner-operators 150–450, savers up to 360. The question is whether that wealth *acts*. Tracing the three classic channels through the engine the town actually runs:

- **Consumption** fires, but is throttled: a saver spends only a quarter of current cash, and ∼20% of the town carries the *savings* objective, which is coded to buy nothing at all — however rich.
- **Real estate** never trades in the monthly loop: households hold one frozen house each and the market that would move them is never driven.
- **Equity and credit** are built but un-driven: the mine→share, private-loan, and bank-loan machinery all exist, but nothing in the town's loop ever sets them in motion.

So the money does not circulate. Worse than idle rentiers: the *firms* hoard too, sitting on large payroll reserves. The town is a set of full pools with no channels between them. That — not a missing quantity of money — is what "demand-deficient" really names.

4. Switching on the bank

The bank is the apparatus that turns an idle *stock* into a household income *flow*. Switching it on means letting wealth be mobilised rather than hoarded. Two mechanisms, with very different outcomes so far.

4.1 Real estate as collateral — the lever that moved

An entrepreneur puts up his own house as collateral and takes a bank loan. The frozen housing stock becomes spendable cash in a consumer's hands, and he spends a quarter of it. Measured on the levelled town (24 months, equity channel off vs on):

	off	**on**
Luxury shops open	2 / 6	**6 / 6**
Luxury capacity (units/mo)	80	**240**
`fed`	84	86
Bank loans taken	0	21

This is the first lever that *created* demand rather than redistributing or injecting it: mobilising frozen real-estate wealth as credit kept alive the marginal sector that every other configuration let fold. It is credit-financed consumption, and demand was the binding constraint, so it bit where supply-side credit could not. (Caveat: measured at 24 months the one-off injection dominates; the entrepreneurs now carry debt, and a longer horizon must test whether interest service claws the gain back.)

4.2 The dividend — blocked by the balance sheet

The intended flow was: the propertied class deposits mines for shares, the bank earns, and the earnings are paid out as dividends — firm money reaching households. The mechanism was built end to end (shares minted, entrepreneurs mortgaged, interest paid) and it fires correctly — but the dividend never pays. The bank's genesis equity is −(all deposits): it is a pure deposit ledger with no reserve asset, so its equity is pinned at minus the money supply ($\approx -26{,}600$). Interest income raises equity by exactly what is paid, but a year of mortgage interest ($\approx 1{,}000$) is a rounding error against that hole, so the dividend gate always refuses. *The dividend is not economically inert; it is accounting-blocked, and awaits a balance-sheet fix* (deposits backed by a reserve asset, so genesis equity is ≈ 0).

4.3 The completing mechanism: raw materials as income

The cleanest firm-to-household flow does not need the dividend at all. If a tech firm must *consume raw materials* to build a machine, and buys them from the indigenous population who own the mining land, then the money a producing firm pays for a machine passes through the tech firm and lands as *income* in a mining household — which then spends a quarter of it on luxury and entertainment. Firm hoards, recycled into household demand, via production. This is the piece being built next; this note will record its measurement when it lands.

5. The thesis

Before the bank, the town has money but no demand, because money does not move: every classic demand lever is either a zero-sum redistribution, a stock that depletes, or a supply-side push that a demand-short town cannot use. The bank — the credit and capital apparatus — is what converts idle stocks into household income flows. The first such flow we switched on (real-estate credit) is also the first thing that made demand where there was none. The remaining flows (raw-material income; and, once the balance sheet is fixed, dividends) are the same idea continued: *put purchasing power in the hands that will spend it, as a flow from production, not a knob.*